PARTIAL ASSESSMENT
One or more checks did not fully pass (2 warning(s) listed). A source may have been unavailable, claims may have been removed because they could not be verified, or data may be missing. Read the Warnings and Unverified concerns sections before relying on this report. Human review is required.

Sunflower oil Procurement Risk Assessment

Request: ui-20261113-094242-d315bf · **Assessment date:** 2026-11-13 · **Status:** PARTIAL

Warnings

- RESEARCH_SOURCE_GDELT: unavailable: HTTP_429 (1 failed calls, 2 attempts, HTTP 429) (optional source: Tavily evidence was sufficient, so this alone does not make the report PARTIAL)
- UNSUPPORTED_CLAIMS_REMOVED: 1 drafted item(s) could not be verified against the evidence and were removed (listed in the report)

Executive summary

- **Exposure over the next 3 months:** modelled baseline procurement cost EUR 1,961,496.55 for 1,230.000 t of forecast demand; 778.710 t is under contract and 451.290 t is uncovered. Coverage: peak uncovered share 46.3% in 2027-02 (190.000 t of 410.000 t forecast).
- **Sensitivity (a hypothetical scenario, not a forecast):** if the benchmark were 10% higher, modelled cost would rise by EUR 107,744.17 (+5.49% of baseline): 61.0% from uncovered demand, 39.0% from index-linked contract(s) (CT-003), 0.0% from fixed-price contracts (CT-001, CT-002). Fixed-price contracts do not move with the benchmark.
- **Decisions requested, in priority order** (ranked by the severity of the risk each action addresses; all need human approval; this report only recommends; the Raw Materials Procurement Manager initiates each action and approval and execution stay with people):
- **Priority 1 · MEDIUM — Verify whether Horus Oil is a viable lead for refined, food-grade sunflower oil before any qualification step beyond desk research.** Addresses: R2 Conditional supplier remains part of committed volume; R1 Uncovered demand rises across the horizon. Owner: Raw Materials Procurement Manager. Approval needed: human approval before any commercial contact; the lead must first pass the qualification steps (POL-003). Review before acting: risks R2, R1; evidence E7; policy POL-003#1, POL-003#3; the internal contract, forecast and supplier records cited in the risk.
- **Priority 2 · MEDIUM — Open a coverage review for the uncovered volume in 2026-12, 2027-01 and 2027-02.** Addresses: R1 Uncovered demand rises across the horizon. Owner: Raw Materials Procurement Manager. Approval needed: human approval required (no approver is named in the policy passages retrieved for this action). Review before acting: risks R1; policy POL-002#3; the internal contract, forecast and supplier records cited in the risk.
- **Priority 3 · MEDIUM — Escalate CT-003 renewal planning to the Procurement Director and track the open conditions for SUP-003.** Addresses: R2 Conditional supplier remains part of committed volume. Owner: Raw Materials Procurement Manager. Approval needed: written sign-off by the Procurement Director before any renewal or volume increase (POL-001 / ASM-003). Review before acting: risks R2; policy ASM-003#2, POL-001#2; the internal contract, forecast and supplier records cited in the risk.
- **Market evidence:** no validated market-price finding is reported.
- **Supply:** no validated supply-disruption finding is reported.
- **Supplier governance (fictional internal supplier):** SUP-003 (Danube Agri Oils SRL (fictional)) is CONDITIONAL; it accounts for 46.2% of contract-committed volume over the horizon. It may keep delivering under its existing contract; any renewal or volume increase needs written Procurement

Director sign-off and cannot be committed until its open conditions are closed (cited fictional policy passages below).

- **Alternative suppliers:** 1 UNVERIFIED sourcing lead(s) found by web search (Horus Oil); none is approved or qualified.
- **Unverified concerns (drafted claims that could not be supported and were removed; they are not findings and may warrant human investigation):** supplier lead 'Elitagro'
- **Report status:** PARTIAL - UNSUPPORTED_CLAIMS_REMOVED. See the warnings above.

The summary is assembled by code from the validated findings and the deterministic figures. Interpretation text in the findings below is AI-generated and must be reviewed.

Unverified concerns - drafted claims removed because their support could not be verified

These are not findings. A person may still want to investigate them.

- supplier_candidates 'Elitagro' removed: identity quote is missing or not found verbatim in the source

How to read the findings

- **Three kinds of source are kept apart in this report.** (1) **Fictional internal data:** Bakery Foods Inc.'s suppliers, contracts, forecasts and policy documents are invented; no news is ever attributed to these suppliers. (2) **External evidence:** web and news items found by search plus the EC benchmark; their source tier and relevance are assigned by rules and a screening step, and a citation is "validated" only in the sense that its quote matches the source text verbatim; this is not a fact-check. (3) **Sourcing leads:** companies found by search, always UNVERIFIED (real companies, never approved or qualified).
- **Basis** `internal_model`**:** derived from the fictional internal contracts, forecasts, supplier records or the calculation outputs.
- **Basis** `external_evidence`**:** supported by retrieved external sources (each citation carries a verbatim quote).
- **Basis** `combined`**:** links external evidence to the internal exposure. Market, contract-coverage and supplier-status risks are kept separate.
- **Citations:** a quote is printed where it is first used; later mentions give the reference only ([E1] evidence register, [POL-002#3] policy passage printed in full below).

Market benchmark (external data)

- **1,457.40 EUR/tonne**, observation period **2026-10-19 to 2026-10-25** (19 days old; limit 21 days from period end)
- Series: `EC_OILSEEDS|Crude sunflower oil|Standard|ES|Average|DEPPROC||EUR|tonne`
- The benchmark is the European Commission price of CRUDE standard sunflower oil in Spain (market stage DEPPROC, whose definition has not been independently confirmed). It is not the company's refined-oil procurement price.
- Observations excluded from calculations (kept in the database): {'OUTLIER_VS_MEDIAN': 2}

Financial exposure (modelled; not supplier quotes)

Baseline modelled procurement cost (3 months): EUR 1,961,496.55 (forecast 1,230.000 t; contract commitments 778.710 t; uncovered 451.290 t)

Incremental price-shock exposure vs baseline

Benchmark shock	Scenario cost (EUR)	Incremental exposure (EUR)	% of baseline
-20%	1,746,008.21	-215,488.34	-10.99%
-10%	1,853,752.38	-107,744.17	-5.49%
+0%	1,961,496.55	0.00	+0.00%
+10%	2,069,240.73	107,744.17	+5.49%
+20%	2,176,984.90	215,488.34	+10.99%

What drives the hypothetical +10% sensitivity (deterministic split; a scenario, not a forecast)

Cost driver	Volume in the model (t)	Incremental exposure (EUR)	Share
uncovered demand (priced at benchmark plus spot premium)	451.290	65,771.05	61.0%
index-linked contract(s) - CT-003	360.000	41,973.12	39.0%
fixed-price contracts - CT-001, CT-002	418.710	0.00	0.0%

All EUR figures are computed at full precision and rounded to cents independently for display, so a displayed scenario cost can differ from the displayed baseline plus the displayed incremental exposure by EUR 0.01; no calculation uses a rounded value.

Contract coverage and monthly detail (coverage changes are separate from price shocks)

Month	Forecast t	Committed t	Uncovered t	Δ uncovered vs prior month t	Baseline cost EUR	Exposure -20%	Exposure -10%	Exposure +0%	Exposure +10%	Exposure +20%
2026-12	400.000	300.000	100.000	—	636,650.40	-57,130.08	-28,565.04	0.00	28,565.04	57,130.08
2027-01	420.000	258.710	161.290	+61.290	669,929.75	-74,994.98	-37,497.49	0.00	37,497.49	74,994.98
2027-02	410.000	220.000	190.000	+28.710	654,916.40	-83,363.28	-41,681.64	0.00	41,681.64	83,363.28

Assumptions: Modelled assumption: spot premium of 150 EUR/tonne over the benchmark for uncovered volume; benchmark shocks ['-0.20', '-0.10', '0', '0.10', '0.20']; benchmark older than 21 days (from period_end) is rejected.

Modelled procurement costs under stated assumptions; not supplier quotes. The benchmark is a market price for the commodity (for sunflower oil: crude oil), not the company's contract price for the refined or processed ingredient.

Existing supplier and contract exposure (fictional internal data)

Contract	Supplier	Country	Approval status	Type	Monthly t	Valid	Ends in horizon
CT-001	Aceites del Sur S.A. (fictional) (SUP-001)	ES	approved	fixed	100.000	2026-07-01 → 2027-06-30	no
CT-002	Girasol Iberico S.L. (fictional) (SUP-002)	ES	approved	fixed	80.000	2026-09-01 → 2027-01-15	yes
CT-003	Danube Agri Oils SRL (fictional) (SUP-003)	RO	CONDITIONAL	index_linked	120.000	2026-09-01 → 2027-08-31	no

Severity indicators (deterministic; internal findings must match them)

- **contract coverage: MEDIUM** — peak uncovered share 46.3% in 2027-02 (190.000 t of 410.000 t forecast). *Rule: peak monthly uncovered share of forecast: >= 50% high; >= 25% medium; > 0% low.*
- **supplier status: MEDIUM** — SUP-003 (conditional): 46.2% of contract-committed volume over the horizon. *Rule: any active contract with a blocked supplier: high; with a conditional or unverified supplier: medium.*
- **price exposure: MEDIUM** — +10% benchmark shock = +5.49% of baseline modelled cost (EUR 107,744.17). *Rule: a +10% benchmark shock as % of baseline modelled cost: >= 10% high; >= 3% medium; > 0% low.*

Internal policy context (fictional policy documents)

Retrieval: **pgvector**. These passages come from fictional internal documents; they explain internal process and are not evidence of real regulatory compliance or of a supplier's current compliance. Passages are printed in full; the findings below cite them by reference.

- **[POL-004#2]** Sunflower Oil Specification and Benchmark Use (policy) — Use of public benchmarks: Public benchmark prices are market indicators, not supplier quotes. The benchmark used in risk assessments is a crude sunflower oil price, so the premium of refined oil over the benchmark is an assumption that the team reviews each quarter.
- **[POL-004#1]** Sunflower Oil Specification and Benchmark Use (policy) — Required product: The three factories use refined, food-grade sunflower oil. Supplier offers for crude oil are not equivalent and are assessed separately, including the cost and the capability of refining.
- **[POL-003#3]** Contingency Sourcing and Alternative Supplier Qualification Policy (policy) — Crude and refined oil: Crude sunflower oil needs refining before use in food production. It is not interchangeable with refined, food-grade sunflower oil and the two must never be compared as if they were the same product.
- **[POL-003#1]** Contingency Sourcing and Alternative Supplier Qualification Policy (policy) — Alternative suppliers are leads until qualified: Companies found through desk research are sourcing leads. During qualification the team may request non-binding samples, carry out technical evaluation and verify the lead's claims. A lead must not receive an order, a contract, a purchasing commitment or a supply-volume commitment until it has been qualified and the appropriate approval has been given. Information published by the company itself is self-reported and must be verified independently. The risk assessment agent may suggest leads, but it cannot qualify or approve a supplier.
- **[POL-001#2]** Approved Supplier Policy (policy) — Conditional suppliers: A conditional supplier may continue to deliver under its existing valid contract, subject to internal monitoring, while its listed conditions remain open. The outstanding conditions must be completed and verified. Renewal of a contract with a conditional supplier, or an increase in its volume, requires sign-off by the Procurement Director in writing and cannot be committed until all open conditions are closed. Nothing in this policy permits a renewal or volume increase while any condition remains open. The Raw Materials Procurement Manager may initiate a review, coordinate corrective actions with the supplier and recommend escalation to the Procurement Director, but cannot approve a renewal or increase. Decision-support tools, including the risk assessment agent, cannot approve suppliers or authorize contractual changes. The procurement team should avoid placing a large share of an ingredient's committed volume with conditionally approved suppliers. Any material share must be reported in the monthly risk review together with the planned closing date of the open conditions.
- **[ASM-001#1]** Supplier Assessment - SUP-001 Aceites del Sur S.A. (fictional) (supplier assessment) — Summary: Aceites del Sur S.A. (SUP-001) is an approved supplier of refined sunflower oil with a fixed-price contract, CT-001, that runs until June 2027. The last annual audit in March 2026 was passed with minor observations that have been closed.

- **[ASM-003#2]** Supplier Assessment - SUP-003 Danube Agri Oils SRL (fictional) (supplier assessment) — Conditions to close: The supplier must submit an updated food-safety certificate and complete a follow-up audit, and both must be verified. Until both conditions are closed, the supplier may continue to deliver under CT-003 within its existing contracted volume, subject to internal monitoring. Any renewal of CT-003 or increase of its volume requires sign-off by the Procurement Director in writing and cannot be committed until both conditions are closed, as set out in the Approved Supplier Policy (POL-001). The Raw Materials Procurement Manager may initiate a review, coordinate the corrective actions and recommend escalation; decisions remain with the Procurement Director.
- **[POL-002#3]** Contract Coverage and Price-Risk Policy (policy) — Escalation of growing uncovered volume: When uncovered volume increases from one month to the next, for example because a contract ends during the horizon, the Raw Materials Procurement Manager performs a coverage review and recommends whether to extend, replace or add contracts. The review is recorded and any decision remains with the people who hold approval authority; contract commitments are approved by the Procurement Director.
- **[ASM-001#2]** Supplier Assessment - SUP-001 Aceites del Sur S.A. (fictional) (supplier assessment) — Strengths and open points: Delivery performance over the last twelve months was stable and no quality incident was recorded. Its fixed-price contract is one of three sunflower-oil contracts, so concentration with any single supplier is a point to consider when coverage is reviewed.

Risks

- **R1 · Uncovered demand rises across the horizon** — contract coverage · basis `internal_model` · severity **MEDIUM** (Severity is medium because the peak monthly uncovered share is 46.3% in 2027-02, which falls in the medium band defined in the internal indicator.) · 2026-12 to 2027-02

Forecast demand exceeds contracted volume in each month of the horizon, with uncovered volume increasing month to month. Internal basis: `INT:indicator:coverage`, `INT:coverage:2026-12`, `INT:coverage:2027-01`, `INT:coverage:2027-02`.

- **R2 · Conditional supplier remains part of committed volume** — supplier status · basis `internal_model` · severity **MEDIUM** (Severity is medium because the internal indicator states SUP-003 is conditional and represents 46.2% of contract-committed volume over the horizon.) · 2026-12 to 2027-02

SUP-003 is conditional and represents 46.2% of contract-committed volume over the horizon. Internal basis: `INT:indicator:supplier_status`, `INT:contract:CT-003`, `INT:supplier:SUP-003`.

- **R3 · Benchmark-linked exposure is sensitive to crude sunflower oil price moves** — market price · basis `internal_model` · severity **MEDIUM** (Severity is medium because the internal indicator states a +10% benchmark shock changes baseline modelled cost by 5.49%. This is a hypothetical sensitivity, not a forecast.) · Horizon sensitivity

The modelled procurement cost changes under benchmark shocks, so the uncapped benchmark-linked portion of exposure remains sensitive to market moves. Internal basis: `INT:indicator:price_exposure`, `INT:calc:scenario:+10%`, `INT:calc:baseline`.

- **No external market or supply risk is asserted:** no direct official or trade-press evidence supported one.

Mitigation options

- Review coverage for the months with uncovered volume and consider extending or adding contracts for the uncovered tranche. (contract strategy; basis `internal_model`; addresses R1): Uncovered volume increases from one month to the next, so the internal coverage review trigger appears to apply. Internal basis: `INT:coverage:2026-12`, `INT:coverage:2027-01`, `INT:coverage:2027-02`. [POL-002#3]
- Escalate CT-003 renewal or any volume increase for SUP-003 to the Procurement Director and track the two open conditions to closure. (existing supplier; basis `internal_model`; addresses R2): SUP-003 is conditional, so any renewal or volume increase needs sign-off and the open conditions must be followed up. Internal basis: `INT:contract:CT-003`, `INT:supplier:SUP-003`, `INT:indicator:supplier_status`.

[POL-001#2] [ASM-003#2]

- Use the benchmark only as a crude sunflower-oil market indicator and keep the refined-oil premium assumption under review in line with internal process. (monitoring; basis `internal_model`; addresses R3): The benchmark is explicitly a crude sunflower oil price, while the company uses refined, food-grade sunflower oil, so the benchmark should not be treated as the contract price. Internal basis: `INT:benchmark`. [POL-004#1] [POL-004#2]

Alternative-supplier leads — UNVERIFIED (real companies found by search; not approved, qualified or capacity-confirmed)

- **Horus Oil** · **UNVERIFIED** · country: **unknown** (not stated in the source) · product: **both** (stated in the source passage below)

Source [E7] (unrated (self-published or unknown)): "Horus Oil supplies crude, refined and high-oleic sunflower oil to commercial buyers across Europe."

Unverified sourcing lead named in a direct supplier_discovery item; the item names sunflower-oil products. **To verify independently:** Independently verify legal entity details, product specifications, food-grade documentation, delivery terms, and whether the company can meet Bakery Foods Inc.'s requirements.

Recommended next steps (all require human review and approval)

- Open a coverage review for the uncovered volume in 2026-12, 2027-01 and 2027-02. (basis `internal_model`; addresses R1) — The uncovered volume rises from one month to the next, which appears to trigger the internal coverage review process. *Next step: Prepare an internal review note for the Procurement Director with the uncovered volumes and contract horizon.* Internal basis: `INT:coverage:2026-12`, `INT:coverage:2027-01`, `INT:coverage:2027-02`. [POL-002#3]
- Escalate CT-003 renewal planning to the Procurement Director and track the open conditions for SUP-003. (basis `internal_model`; addresses R2) — SUP-003 is conditional, so renewal or any volume increase cannot be committed without sign-off and completion of the open conditions. *Next step: Record the open conditions and request written sign-off only after verification is complete.* Internal basis: `INT:contract:CT-003`, `INT:supplier:SUP-003`, `INT:indicator:supplier_status`. [POL-001#2] [ASM-003#2]
- Verify whether Horus Oil is a viable lead for refined, food-grade sunflower oil before any qualification step beyond desk research. (basis `combined`; addresses R2, R1) — The search result names a company and sunflower-oil products, but it remains an unverified lead and must be independently checked before any sourcing commitment. *Next step: Independently verify product grade, food-safety documentation, business registration, and logistics fit; do not treat it as approved or qualified.* Internal basis: `INT:indicator:supplier_status`, `INT:benchmark`. [E7] [POL-003#1] [POL-003#3]

Uncertainties

- The benchmark is available, but it is a crude sunflower oil benchmark and not the company's refined-oil procurement price.
- The policy passages are fictional internal documents and only describe internal process.
- External evidence is incomplete and includes non-official and commercial items; only the direct trade-press items support the external market findings.
- Supplier candidates are unverified leads only and must be independently verified before any sourcing decision.

Research status

- tavily: ok: 3 of 3 calls succeeded, HTTP 200, 18 results returned; 12 passed pre-filter, 11 judged usable (8 direct)
- gdelt: unavailable: HTTP_429 (1 failed calls, 2 attempts, HTTP 429)
- policy: ok: pgvector, 9 passages
- filtering: excluded search results (kept out of the report): OUTSIDE_DATE_WINDOW=6

Evidence register (source tier and relevance are assigned by rules and a screening step; they are not fact-checks)

- **[E1]** CPO prices to stay above MYR4,600 in September amid tightening supply… — https://www.ofimagazine.com/news/cpo-prices-to-stay-above-myr4-600-in-september-amid-tightening-supply-and-geopolitical-disruptions-mpoc-says · source: tavily · tier: trade press · relevance: direct · published: 2026-08-28 · retrieved: 2026-11-13
- **[E2]** Sunflower market outlook: softer seeds, firm oil on export floors — CMB News — https://commodity-board.com/sunflower-market-softens-as-record-oilseed-crops-meet-price-floors-and-weak-crude · source: tavily · tier: unrated (self-published or unknown) · relevance: direct · published: 2026-10-30 · retrieved: 2026-11-13
- **[E3]** Sunflower Oil Prices 2026: Trends, Index, Chart & Forecast — https://www.imarcgroup.com/sunflower-oil-pricing-report · source: tavily · tier: commercial/market research · relevance: direct · published: 2026-09-21 · retrieved: 2026-11-13
- **[E4]** Palm and sunflower oil prices fall due to seasonal supply increases — https://graintrade.com.ua/en/novosti/tcini-na-palmovu-ta-sonyashnikovu-oliyu-znizhuyutsya-cherez-sezonne-zrostannya-propozitcii.html · source: tavily · tier: trade press · relevance: direct · published: 2026-09-30 · retrieved: 2026-11-13
- **[E5]** Vegetable oil prices under pressure from record palm oil stocks and rising sunflower oil supply — https://graintrade.com.ua/en/novosti/tcini-na-roslinni-olii-pid-tiskom-rekordnih-zapasiv-palmovoi-ta-zrostannya-propozitcii-son.html · source: tavily · tier: trade press · relevance: direct · published: 2026-10-07 · retrieved: 2026-11-13
- **[E6]** US Sunflower Oil Market Caught in a Supply-Demand Tug-of-War as Stocks Rise — https://www.chemanalyst.com/NewsAndDeals/NewsDetails/us-sunflower-oil-market-caught-in-a-supply-demand-tug-of-war-44710 · source: tavily · tier: commercial/market research · relevance: contextual · published: 2026-09-28 · retrieved: 2026-11-13
- **[E7]** Sunflower Oil Suppliers in Europe - Bulk & Wholesale — https://www.horusoil.com/sunflower-oil-suppliers-in-europe · source: tavily · tier: unrated (self-published or unknown) · relevance: direct · published: 2022-06-09 · retrieved: 2026-11-13
- **[E8]** Sunflower Spain | B2B companies and suppliers | europages — https://www.europages.co.uk/companies/spain/sunflower.html · source: tavily · tier: commercial/market research · relevance: direct · published: date unknown · retrieved: 2026-11-13
- **[E9]** Sunflower Oil Spain Suppliers, Trade & Prices | Market Overview 2026 | Tridge — https://www.tridge.com/market-overview/sunflower-oil/ES · source: tavily · tier: unrated (self-published or unknown) · relevance: contextual · published: date unknown · retrieved: 2026-11-13
- **[E10]** Refined Sunflower Oil Buyers & Importers in Spain | go4WorldBusiness.com — https://www.go4worldbusiness.com/find?searchText=refined-sunflower-oil&countryFilter%5B0%5D=spain&cityFilter%5B0%5D=madrid&pg_buyers=1&pg_suppliers=4&_format=html&BuyersOrSuppliers=buyers&city=madrid · source: tavily · tier: unrated (self-published or unknown) · relevance: irrelevant · published: date unknown · retrieved: 2026-11-13
- **[E11]** Sunflower Oil - 88 Manufacturers, Traders & Suppliers — https://www.industrystock.com/en/companies/Food-Engineering/Food/Cooking-Oil/Sunflower-Oil · source: tavily · tier: commercial/market research · relevance: contextual · published: date unknown · retrieved:

2026-11-13

- **[E12]** Sunflower oil – Elitagro — https://elitagro.es/en/oils/aceite-de-girasol · source: tavily · tier: unrated (self-published or unknown) · relevance: direct · published: date unknown · retrieved: 2026-11-13

Scope and limitations

- Policy passages come from fictional internal documents; they are internal context only, not evidence of real regulatory compliance or of a supplier's current compliance.
- Existing suppliers, contracts and demand forecasts are synthetic (fictional Bakery Foods Inc.); no public-news monitoring of existing suppliers is performed.
- External evidence comes from web/news search and may be incomplete, outdated or biased; material claims need human verification.
- Alternative-supplier candidates are real companies found by search; they are unverified sourcing leads only.

Advisory decision support only: the agent cannot approve suppliers, place orders or change contracts. Supplier candidates are unverified search results, not approved, qualified or capacity-confirmed suppliers; independent procurement verification and qualification are required before any action.
Financial figures are modelled scenarios under stated assumptions, not supplier quotes or forecasts.